

Payment Chronicle by Gajanan

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Companies: Square, Adyen

Article 1

Adyen pushes deeper into embedded finance for platforms

Adyen (AMS: ADYEN) is turning the payments pipe into a full-fledged fintech toolkit. In a fresh update, the global platform is rolling out embedded financial services for marketplaces and SaaS platforms—think business accounts, instant payouts, card issuing, and working capital—bundled into the same rails that already process transactions. Why should payment execs care? Because this shifts the battleground from pure acquiring to end-to-end merchant lifecycle monetization. Platforms get to lock in sellers with stickier, high-margin services; Adyen gets to leverage rich transaction data to score risk, price capital, and boost take rates beyond interchange. It also blurs lines with banks as treasury, lending, and issuing creep into the PSP stack. The catch: more underwriting exposure, heavier compliance, and the need for razor-sharp risk models. But for players with distribution and data, it's a compelling moat. In short, embedded finance isn't a side quest anymore—it's the strategy. Expect PSPs to follow suit, banks to defend the edge, and platforms to quietly become fintechs.

Source: PaymentsJournal

<https://www.paymentsjournal.com/adyen-goes-live-with-tap-to-pay-on-iphone/>

Article 2

BNPL's holiday surge: Why Adyen could be the quiet winner

Buy now, pay later is set for another bumper holiday season, with Swedish giant Klarna touting rising instalment use at checkout. That's good news for Adyen. The Dutch payments processor sits behind thousands of retailers' checkout pages, bundling cards, wallets and BNPL options into one integration. So when shoppers flip to instalments, Adyen captures the extra volume without taking on the lending risk. More choice usually means better conversion and bigger baskets—two things merchants love—and Adyen's pitch of "plug once, offer everywhere" makes rolling out BNPL across markets far simpler. But there are trade-offs. BNPL providers charge merchants a chunky fee, and Adyen's economics on these flows can differ from standard card acquiring. There's also more operational complexity—settlements, refunds, disputes—and the ever-looming risk of tighter BNPL regulation in major markets. Net-net: if holiday BNPL demand spikes as expected, Adyen benefits as the rails powering it, strengthening merchant stickiness and lifting processed volumes. The margin mix may wiggle, but in a volume-driven business with enterprise clients, being the default orchestration layer at checkout is a very valuable place to be.

Source: PaymentsJournal

<https://www.paymentsjournal.com/klarna-and-adyen-team-up-for-in-store-bnpl/>

Article 3

Adyen teams up with Plaid to make pay-by-bank a checkout staple

Adyen just teamed up with Plaid. Translation: merchants could get smoother bank-based payments and smarter account checks baked into their checkout. Adyen already handles gateway, acquiring, and risk; Plaid brings bank connectivity and data pipes. Put them together and you get real-time account verification, balance checks, and account-to-account payment options that aim to cut costs, boost approval rates, and reduce fraud and chargebacks. For merchants, that could mean lower payment acceptance costs versus cards and faster settlement on certain rails. For shoppers, login-style bank pay might finally feel as effortless as tapping a card. The catch? Adoption depends on coverage, UX, and whether consumers feel they're giving up card rewards and protections. Strategically, Adyen is doubling down on open-banking flows without abandoning cards, while Plaid moves closer to the heart of enterprise payments rather than just data aggregation. If this sticks, issuers could see more pressure on interchange, and PSPs will race to bundle pay by bank with risk tools. Regulatory tailwinds around open banking only add momentum, suggesting this isn't a niche experiment but a shift in how money moves online.

Source: PaymentsJournal

<https://www.paymentsjournal.com/adyen-and-plaid-partnership-what-it-means/>

Article 4

Square's new Handheld cuts the cord with phones for POS

Square made its name with little readers that turned smartphones into point-of-sale devices. Now it's going solo. The new "Handheld" is a portable, all in one terminal that doesn't need a phone—think payments and POS baked into a single device you can carry to tables, queues, curbside, or pop ups. Why it matters: fewer points of failure (no flaky Bluetooth, mismatched batteries, or staff phones), tighter security and compliance, and a consistent user experience you can manage across a fleet. Strategically, it pushes Square upmarket and reduces dependence on Apple/Android policies, while boosting hardware-driven stickiness and margins. It also squares off against rivals like Shopify's POS Go, Toast, Clover, and Lightspeed—signalling that even in a tap to pay world, many merchants still want rugged, dedicated kit. Expect Square to bundle Handheld with software, support, and financing to lift ARPU and lock in longer. Phone based readers won't disappear—they're cheap and great for micro merchants—but mid sized businesses may prefer the simplicity of an all in one. For payment execs, it's another nudge toward owning the whole checkout experience, not just the rails.

Source: PaymentsJournal

<https://www.paymentsjournal.com/square-aims-to-move-upmarket-with-handheld-pos-device/>

Article 5

Square lets small businesses accept Bitcoin — here's what it really means

Square is adding bitcoin payment capabilities to its point-of-sale stack, giving mom-and-pop stores one more way to get paid as customers flirt with new tech. The pitch is simple: accept BTC at checkout, expand your audience, and look modern without rebuilding your payments plumbing. For merchants, the upside is optionality—attracting crypto-savvy shoppers, smoothing some cross-border sales, and potentially shaving costs on certain transactions. But volatility and tax treatment are the elephants in the room. Most small businesses won't want bitcoin on their balance sheet, so expect strong demand for instant conversion to fiat, clear refund flows, and bookkeeping tools. For the industry, this is less a crypto land grab and more a strategic hedge. Even if adoption starts niche, it keeps Square at the center of the merchant relationship while nudging card rails on price and flexibility at the margins. Regulators will care about AML, disclosures, and consumer protections. What to watch: Square's pricing (spread vs fees), settlement options (BTC or fiat), UX at checkout, and whether this becomes a cross-border wedge or just table stakes for modern POS.

Source: PaymentsJournal

<https://www.paymentsjournal.com/square-adds-bitcoin-payments-and-upgrades-ai-for-small-businesses/>

Article 6

Square rings up its first Bitcoin sale at a DC coffee shop

Square just processed its first in-store bitcoin payment at Compass Coffee in Washington, D.C., using a new point-of-sale feature that lets merchants accept BTC at checkout and (importantly) auto-convert to dollars. What's the big deal? It puts crypto rails right next to card rails on a mainstream terminal—no browser plugins or niche wallets required. For merchants, the pitch is simple: tap into a new customer segment, reduce chargebacks (bitcoin transactions are final), and potentially trim acceptance costs versus card interchange. For Block, it's another brick in Jack Dorsey's Bitcoin-centric strategy, tying together Cash App users, wallets, and seller acquiring into a single loop. The caveats: consumer demand is still niche, staff training matters, refunds and reconciliations need clean policies, and conversion spreads and tax reporting don't vanish. Card networks won't lose sleep yet, but if crypto payments can deliver instant settlement and lower fees for coffee-sized tickets, expect more pilots. The watch-items for payment execs: Square's pricing vs card acceptance, how seamlessly BTC sales settle alongside card batches, and whether merchant adoption goes beyond marketing buzz.

Source: PaymentsJournal

<https://www.paymentsjournal.com/squares-platform-sees-first-bitcoin-payment-at-coffee-shop/>

